Ex Tempore

COLOUR CHAMPION (PRIVATE) LIMITED T/A LIUGONG ZIMBABWE
versus
DILLON TECHNICAL SUPPORT SYSTEMS (PRIVATE) LIMITED T/A ELECTRO INSTRUMENTS

HIGH COURT OF ZIMBABWE
DEME J
HARARE, 17 and 19 June 2026.

Summons for Provisional Sentence

R.A. Ndlovu, for the Plaintiff.
G. Ndlovu, for the Defendant.

DEME J: The Plaintiff approached this court seeking a relief for provisional sentence in terms of Rule 14. In particular, the Plaintiff is seeking the following relief:

> "1. The Defendant shall pay to the Plaintiff the sum of USD$111,680.00 (One Hundred and Eleven Thousand Six Hundred and Eighty United States Dollars) together with interest thereon at the rate of 5% per annum calculated from the date of judgment to the date of full and final payment; and
>
> 2. The Defendant shall pay costs of suit on an attorney and client scale."

The matter was opposed by the Defendant who raised two points *in limine*. Firstly, the Defendant averred that this court does not have jurisdiction to hear this matter as the parties agreed that the dispute arising from their relationship ought to be referred to arbitration. In its second point *in limine*, the Defendant contended that the matter is improperly before the court as the Plaintiff failed to attach any liquid document as required in terms of the Rules.

In its answering affidavit, the Plaintiff raised a point *in limine* against the Defendant's opposing affidavit. According to the Plaintiff, the opposing affidavit filed by the Defendant is defective having been improperly commissioned. Ms *Ndlovu* in her oral submissions abandoned this point *in limine*.

Thus, I need to make a determination of the Defendant's points *in limine.* On the day of hearing, I allowed the parties to argue on the remaining points *in limine* and thereafter I reserved judgment.

On the question of this court's jurisdiction, my attention was drawn to the cases of *Waste Management Services* v *City of Harare*[1], *Capital Alliance (Pvt) Ltd* v *Renasance Merchant Bank Ltd,*[2] *Edgars Stores Managers Association* v *Edgars Store*[3] *and Shell Zimbabwe (Pvt) Ltd* v *Zimsa (Pvt)Ltd and Anor*[4]. The court was also referred to Clause 13 of the agreements concluded by the parties. Clause 13 provides that:

> "All disputes, claims or proceedings between the parties relating to validity, construction or performance of this agreement that cannot be resolved by the parties shall be referred to arbitration in terms of the laws of Zimbabwe depending on where the legal action is taking place. The arbitrator shall be appointed by the mutual agreement of the parties and, failing agreement, by the president of the Commercial Arbitration Centre. The arbitration shall take place in Harare and shall be held in a summary manner without reference to strict rules of procedure in order that the matter may be resolved promptly and simply in a commercial manner.
>
> Either party may invoke this clause after providing fourteen (14) days written notice to the other party or the costs of arbitration shall be shared equally between the parties. Any party in whose favour an award is granted may register such award with the appropriate court for purposes of enforcement."

Responding to this point *in limine*, the Plaintiff's counsel, Ms *Ndlovu* submitted that the point *in limine* is unmerited. She argued that arbitration mechanism does not provide for provisional sentence which is a speedy relief. Ms *Ndlovu* argued that the jurisdiction cannot be ousted by the agreement. She prayed for the dismissal of the point *in limine.*

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[1] 2000 (1) ZLR 172.

[2] 2006 (2) ZLR 232.

[3] SC103/04.

[4] 2007 (2) ZLR 366.

An agreement binds parties thereto. In the absence of compelling circumstances, no party may be allowed to have a departure from the agreed terms of the contract. Parties agreed that any dispute may be referred to arbitration proceedings for resolution of such a dispute. Clause 13 of the agreements attached to the Defendant's opposing affidavit has not been set aside. The court was not favoured with the reason the Plaintiff failed to exploit this avenue. Our courts have emphasized that parties must learn to abide by the arbitration agreement. The court may decline to have jurisdiction as the court of first instance where the litigants have a binding arbitration agreement. In the case of *Edgars Stores Managers Association* v *Edgars Stores Ltd* supra, CHIDYAUSIKU CJ, as he then was, remarked as follows:

> "The reasoning of the President of the Labour Court cannot be faulted. It is quite clear that clause 6 of the agreement between the parties is an arbitration agreement in terms of article 7 of the First Schedule of the Arbitration Act [*Chapter 7:15*]. It follows, therefore, that article 8 applies to this case and it requires a court to stay proceedings if the parties so request, and refer the matter to arbitration unless it finds the agreement to be null and void, inoperative or incapable of being performed. Authority for the above proposition is to be found in the cases of *Independence Mining (Pvt) Ltd v Fawcett Security Operations (Pvt) Ltd* 1991 (1) ZLR 268; Zimbabwe *Broadcasting Corporation v Flame Lily Broadcasting (Pvt) Ltd* 1999 (2) ZLR 448 and *PTA Bank v Elanne (Pvt) Ltd* 2000 (1) ZLR 156.
>
> Whether a dispute falls within the ambit of an arbitration clause is primarily a question of interpretation. If a clause does fall within the ambit of the arbitration clause, then the court must stay the proceedings and refer the matter to arbitration.
>
> In my view clause 6 does fall within the ambit of the arbitration clause and the proceedings must be stayed and referred to arbitration.
>
> On this basis I am satisfied that there is no merit in the appeal and the appeal is dismissed with costs."

In *casu*, Clause 13 of the agreements concluded by the parties hereto must be construed as an arbitration agreement. Hence, the case of *Edgars Stores Managers Association* v *Edgars Stores Ltd supra* must apply with equal force to the present matter.

The arbitral award is final subject to a few exceptions where an aggrieved party may seek the setting aside of the award on good cause shown subject to the relevant legislation. Butler and Finsen, "Arbitration in South Africa; Law & Practice" at p 271, postulated as follows:

> "The most important legal consequence of a valid final award is that it brings the dispute between the parties to an irrevocable end; the arbitrator's decision is final and there is no appeal to the courts. For better or worse, the parties must live with the award, unless the arbitration agreement provides for a right of appeal to another arbitral tribunal. The issues determined by the arbitrator become *res judicata* and neither party may reopen those issues in a fresh arbitration or court action".

Our courts do not lightly interfere with arbitration agreements. Where the parties agreed to incorporate an arbitration clause, the court must respect such agreement. The court must not vary the contract concluded by the parties. Inviting this court to entertain the merits of the dispute between the parties hereto in light of the arbitration agreement may violate the salutary cornerstones of the contract law namely sanctity and freedom of contract. Reference is made to the case of *Chiduku and Others* v *Chiduku*[5] where MATHONSI JA commented as follows:

> "The unyielding principle of sanctity of contracts confines the courts only to interpreting a contract and not creating one for the parties. It entails that the courts should respect the contract made by the parties and give effect to it. See *Alliance Insurance* v *Imperial Plastics (Pvt) Ltd & Another* SC 30/17 where the following passage in *Book* v *Davidson* 1988 (1) ZLR 365 (S) at 378G-379C was referred to:
> "There is, however, another tenet of public policy, more venerable than any thus engrafted onto it under recent pressures, which is likewise in conflict with the ideal of freedom of trade. It is the sanctity of contracts' (*Rofley v Catterall Edwards & Goudre (Pty) Ltd* 1977 (4) SA 494 (N) at 504 – 505E)
> …
> 'If there is one thing which more than any other public policy requires, it is that men of full age and competent understanding shall have the utmost liberty of contracting, and that their contracts when entered into freely and voluntarily shall be held sacred and shall be enforced by courts of justice. Therefore, you have this paramount public policy to consider that you are not lightly to interfere with this freedom of contract. (*Printing and Numeric Registering Co v Sampson* (1875) LR 19 Eq 462 at 465) …'
>
> 'To allow a person of mature age, and not imposed upon, to enter into a contract, to obtain the benefit of it, and then to repudiate it and the obligations which he has undertaken is, *prima facie* at all events, contrary to the interests of any and every country. (*E Underwood and Son Ltd v Barker* (1899) ICH 300 (CA) at 305)'"

[5] SC56/24.

In terms of Article 8 of the Schedule to the Arbitration Act [*Chapter 7:15*], this court must stay the proceedings where any party raises an objection based on the arbitration agreement. Article 8 provides as follows:

> "(1) A court before which proceedings are brought in a matter which is the subject of an arbitration agreement shall, if a party so requests not later than when submitting his first statement on the substance of the dispute, stay those proceedings and refer the parties to arbitration unless it finds that the agreement is null and void, inoperative or incapable of being performed.
>
> (2) Where proceedings referred to in paragraph (1) of this article have been brought, arbitral proceedings may nevertheless be commenced or continued, and an award may be made, while the issue is pending before the court."

Mr. *Ndlovu* prayed for an order that the matter be struck from the roll on the basis of this point *in limine*. However, this flies against the provisions of Article 8(1) of the Schedule to the Arbitration Act. In terms of Article 8, the court may stay proceedings. This position was also reinforced by the Supreme Court in *the case of Edgars Stores Managers Association v Edgars Stores Ltd* supra. On this basis, an order for the staying of proceedings is appropriate in the circumstances. This will give parties an opportunity to pursue the route of arbitration as defined in their agreements. Having reached this conclusion, there is no need for the court to make a determination on the remaining point *in limine*.

Mr. Ndlovu prayed for costs on an attorney and client scale. He referred the court to Clause 12.4 of the agreements concluded by the parties hereto which provides as follows:

> "In the event of cancellation, it is recorded that any claim for damages will include, inter alia, wasted legal costs on the attorney and client scale, collection commission and all other expenses incurred by the innocent party."

In my view, Clause12.4 is inapplicable to the circumstances where this court has not touched the merits of the case. Clause 12.4 is applicable to the dispute which involves a claim for damages arising from the cancellation of the contract. Such costs can only be claimed by an innocent party. Such circumstances are not before me. On this basis, costs on an ordinary scale are reasonably sufficient. In the result, it is ordered as follows:

A. The point *in* limine that this court lacks jurisdiction to hear the matter be and is hereby upheld.

B. Consequently, the present proceedings be and are hereby stayed pending the referral of the dispute to arbitration.

C. The Plaintiff shall bear costs of suit on an ordinary scale.

DEME J ……...

Muchada & Seda Corporate Attorneys, Plaintiff's Legal Practitioners
Ndlovu Attorneys, Defendant's Legal Practitioners